

BRD - Fee Application Module (FAM)

Business Requirement Document (BRD) - Fee Application Module (FAM)

Document Details

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1. Executive Summary

The Fee Application Module (FAM) replaces legacy hard-coded fee handling with a **configuration-first, audit-controlled** platform. All fee policy elements (base fees, uplifts, interest, compliance periods) are maintained in a **Single Source of Truth (SSOT)** and governed by

dual-control approvals (Keyer → Verifier 1 → Verifier 2). The module guarantees **deterministic, explainable** fee outcomes across **all supported income streams** and platforms (desktop and tablet), with full auditability, client-specific policy integration, and safe activation windows.

1.1 Purpose of This Document

Define the business and functional requirements for FAM, serving as the authoritative baseline for design, build, test, rollout, and audit.

1.2 Executive Overview

FAM addresses:

- **Accuracy & Determinism:** Same inputs → same outputs; consistent outcomes across brands and channels.
- **Governance:** RBAC-controlled SSOT, dual-control approvals, immutable audit.
- **Flexibility:** Business-managed fee values; cutovers without code changes.
- **Transparency:** End-to-end audit for decisions, values, and versions.
- **Integration:** Client policy (greater-of), mobile parity, reporting & data warehouse readiness.

1.3 Business Value Proposition

This initiative delivers measurable value across six key dimensions:

What This Section Explains: This section articulates the business benefits that the FAM system will deliver to the organization.

Value Dimension	Description
Accuracy	Statutory fees applied correctly and consistently across all enforcement debt types
Governance	RBAC-controlled configuration tables with dual-person approval (Keyer-Verifier)
Compliance	Full audit trails for all configuration changes with automatic notifications to Audit
Flexibility	Business users can configure fees without IT intervention
Integration	Seamless reference to Client Maintenance File (CMF) for client-specific parameters
Transparency	All fee calculations are deterministic, explainable, and auditable

2. Business Context

2.1 In Scope

- SSOT configuration for fees, uplifts, interest, compliance periods.
- Dual-control approval workflow (Keyer → Verifier1 → Verifier2 → Activation).
- Deterministic fee calculation (base, uplift, VAT, interest).
- Compliance period greater-of logic (statutory vs client).
- Compliance extensions with limit checks.
- Pro-rata allocation, aggregation logic, and fee bubble version selection.
- Mobile/Optimise parity, offline mismatch detection, and server override.
- Audit trail, notifications, and 6-year retention.
- Integration and reporting updates (fee model/version indicator).
- Performance, monitoring, activation, and security NFRs.

2.2 Out of Scope

- Changes to core workflow engine beyond fee-related transitions.
- New enforcement stages or new debt types.
- Redesign of debt recovery or payment arrangement logic.
- Commission model redesign outside fee-value impacts.
- Legacy system decommissioning.

- New Optimise UI features.
- New external integrations.

2.3 Understanding Enforcement

Enforcement represents the formal process of collecting debts that have not been paid voluntarily. When debtors fail to meet their payment obligations, enforcement actions are initiated to recover the money owed to creditors. This process involves multiple stages, each potentially generating fees that must be calculated and applied consistently.

The enforcement journey follows a structured progression from initial compliance through to final collection, with fee implications at each stage. Understanding this journey is essential for understanding how the FAM calculates and applies fees at appropriate points.

2.4 Supported Debt Types (Yet to confirm)

The FAM supports the following enforcement debt types:

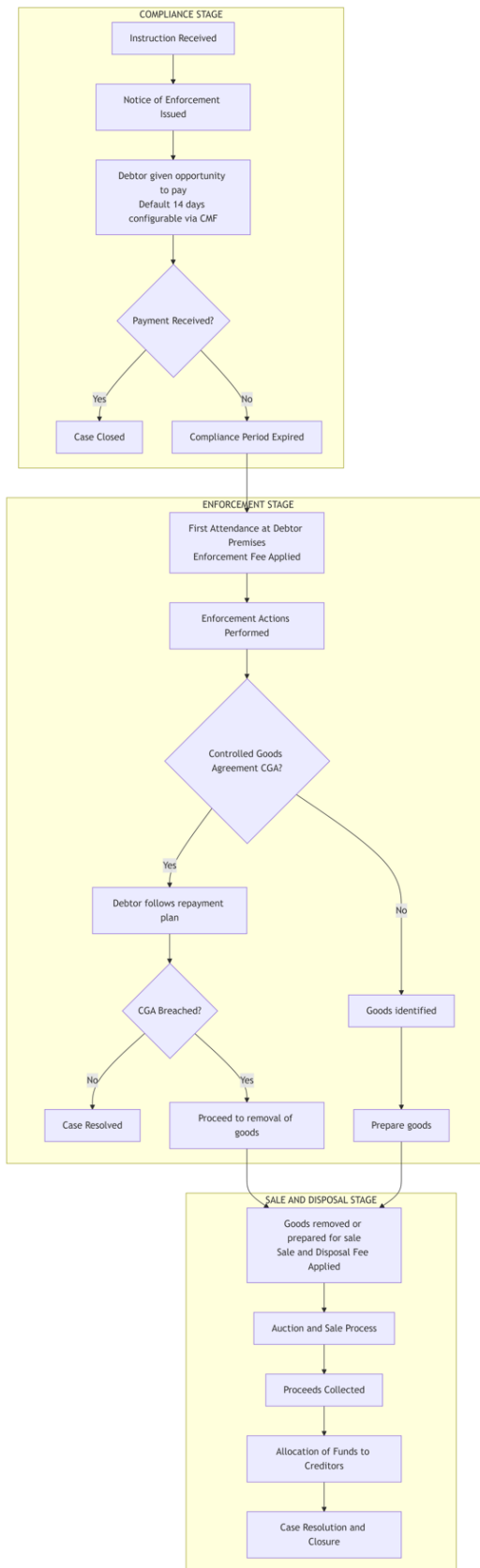
WarrantId	Debt Stream Name	CaseTypeId	Case Type Name	Group
1	Magistrates & Traffic Enforcement	8	Magistrates Distress (inc. Inland Revenue)	WOC
1	Magistrates & Traffic Enforcement	9	RTA/TMA (Road Traffic / Traffic Management)	WOC
3	Arrest & Committal Enforcement	1	Arrest Bail	Arrest
3	Arrest & Committal Enforcement	2	Arrest No Bail	Arrest
3	Arrest & Committal Enforcement	3	Arrest Breach Bail	Arrest
3	Arrest & Committal Enforcement	17	Arrest Committal	Arrest
3	Arrest & Committal Enforcement	18	Arrest Section 136	Arrest
3	Arrest & Committal Enforcement	19	Arrest Breach No Bail	Arrest
4	Local Authority & Civil Debt	20	Council Tax Liability Order	Liability Order
4	Local Authority & Civil Debt	21	National Non Domestic Rates	Liability Order
4	Local Authority & Civil Debt	22	Child Maintenance Group	Liability Order
4	Local Authority & Civil Debt	23	Commercial Rent	Liability Order
4	Local Authority & Civil Debt	24	Legal Aid	Liability Order
4	Local Authority & Civil Debt	6	Debt Collection	Liability Order
4	Local Authority & Civil Debt	11	Clamping Orders	Liability Order
5	High Court Enforcement	25	High Court	High Court

Why This Matters: Each debt type has distinct fee structures, regulatory requirements, and operational characteristics that the FAM must accommodate through flexible configuration.

2.5 The Enforcement Journey

This section describes the four distinct stages of the enforcement journey, each with specific fee implications.

The enforcement journey comprises distinct stages:



Stage Descriptions:

Compliance Stage

The **Compliance Stage** covers all activities from the point at which the enforcement instruction is received until the commencement of the **Enforcement Stage**.

During this period:

- The debtor is formally notified of the enforcement action.
- The debtor is provided an opportunity to settle the outstanding debt without further enforcement activity.
- The default compliance period is **14 days**, although this may be **configured per income stream through CMF** and extended through approved operational channels where applicable.

No enforcement attendance occurs during this stage.

Enforcement Stage

The **Enforcement Stage** includes all activities from the **first attendance at the debtor’s premises** until the commencement of the **Sale & Disposal Stage**.

During this stage:

- Enforcement agents may attend the debtor’s premises to recover the debt.
- The **Enforcement Fee becomes applicable at the enforcement visit stage**.
- Enforcement agents may secure goods under a **Controlled Goods Agreement (CGA)** where the debtor agrees to a repayment arrangement while goods remain under enforcement control.

For **High Court enforcement**, there may be **multiple enforcement attendances**, which may include a **first and second enforcement stage**, depending on:

- Whether the debtor enters into a **Controlled Goods Agreement**, and
- Whether that agreement is **breached**.

Sale & Disposal Stage

The **Sale & Disposal Stage** encompasses the period from the point at which enforcement agents **attend the premises to remove goods or prepare them for sale**, through to the **completion of the sale or disposal process**.

This stage includes:

- Removal and secure storage of goods
- Preparation and arrangement for sale (e.g., auction)
- Completion of the sale or disposal of goods
- Allocation and distribution of the recovered funds to creditors

The **Sale & Disposal Fee** becomes applicable during this stage in accordance with the statutory fee structure.

2.6 Current State Challenges

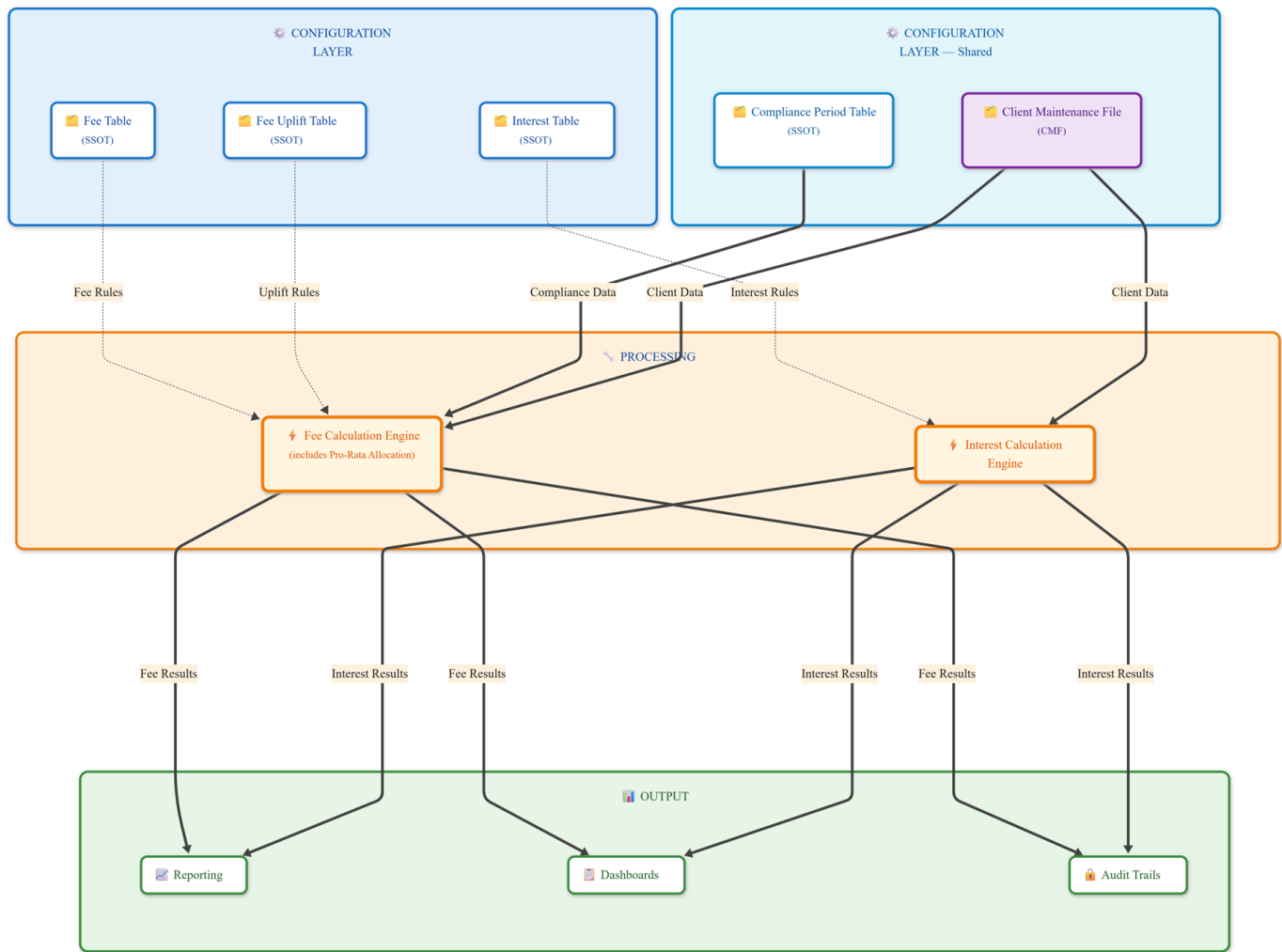
The existing enforcement fee management approach presents several significant challenges that this solution addresses:

Challenge	Current Impact	Root Cause
Hard-coded fee values	Cannot update without code deployment	Legacy system architecture
No audit trail	Compliance risk	Missing governance
Manual calculation	Errors and inconsistency	Lack of automation
No RBAC	Security risk	Missing access control
No client-specific config	Inflexibility	Rigid design

3. Architecture Overview

The FAM operates as a centralized calculation service within the enforcement technology landscape.

This section describes the three-layer architecture of the FAM system and how each layer contributes to the overall functionality.



3.2 Configuration Layer

The Configuration Layer contains all master data tables serving as the Single Source of Truth:

- **Fee Table**: Base fee amounts per income stream and fee stage
- **Fee Uplift Table**: Percentage uplifts based on debt amount thresholds
- **Interest Table**: Tiered interest rates based on balance thresholds
- **Compliance Period Table**: Configurable compliance periods per income stream

3.3 Processing Layer

The Processing Layer contains the calculation engines:

- **Fee Calculation Engine**: Applies base fees, uplifts, and determines applicable rates
- **Pro-Rata Allocation Engine**: Distributes payments and fees across multiple debts
- **Interest Calculation Engine**: Applies tiered interest rates to outstanding balances

3.4 Output Layer

The Output Layer provides visibility and audit capabilities:

- **Audit Trail System**: Captures all configuration changes and calculation activities
- **Notification Service**: Distributes alerts to relevant stakeholders
- **Integration Interfaces**: Feeds downstream systems with fee data

3.5 Platform Mapping & Activation Policy

- SSOT logical tables are realized via **configuration entities**; **activation** is executed via **Keyer/Verifier** to switch values **atomically at cutover**, providing an auditable effective window without relying on code-level scheduled switches.

4. Business Requirements

Overview

What This Section Explains: This is the core section of the document containing all the workflow diagrams that define how the FAM system operates. Each flow is explained with its purpose, steps, and business rationale.

4.1 Business Objectives

4.1.1 BO-01: Accurate Fee Application Across All Debt Types

Field	Value
Priority	 HIGH
Owner	Policy Team

Problem Statement:

Fees are calculated inconsistently across different enforcement debt types. Hard-coded fee values prevent timely updates when regulations change. There is no central source of truth for fee amounts.

Target State:

Fees are calculated correctly and consistently for all debt types mentioned above, with uniform application across England and Wales.

4.1.2 BO-02: Deterministic Rule-Based Fee Calculation

Field	Value
Priority	 HIGH
Owner	Policy / Group IT

Target State:

Fee calculations follow deterministic rules that produce consistent, explainable results based on input parameters. All calculations are traceable to source tables.

Deterministic Calculation Flow

Step-by-Step Explanation:

1. **Fee Calculation Request:** The process begins when a request is received for fee calculation. This can be triggered by:
 - Case stage change (e.g., moving from Compliance to Enforcement)
 - Manual user request
 - Scheduled process
2. **Input Parameters:** The system collects all necessary inputs:
 - Fee Stage (Compliance/Enforcement/Control/Sale)
 - Income Stream (Council Tax/High Court/etc.)
 - Effective Date (From and to) - Refer Fee Versioning and Effective Date Control below
 - Debt Amount
 - Case Status
3. **Fee Versioning and Effective Date Control**

The fee configuration follows an **effective date versioning model** to ensure that fee structures remain historically accurate while allowing future regulatory or business updates. Each fee configuration is maintained as a **versioned record with an effective start date**, and the system determines the applicable fee version based on the **case event date and fee effective period**.

Latest Fee Version Behavior

The **latest approved fee version will remain active without an explicit end date** until a new fee configuration version is introduced with a future effective date.

This ensures that:

- The current fee configuration continues to be applied to all eligible cases.
- No gaps exist between fee configuration periods.
- Historical fee calculations remain traceable.

Fee Supersession Logic

When a new fee configuration is approved:

1. A **new fee version is created** with a defined **Effective Start Date**.
2. The previously active fee version is automatically **superseded**.
3. The system implicitly treats the **end date of the previous version as the day before the new version's effective date**.
4. Only **one fee version remains active at any given time**.

Example:

Fee Version	Effective Start Date	Effective End Date
Version 1	01 Jan 2024	31 Mar 2025
Version 2	01 Apr 2025	Active (No End Date)

Fee Determination Logic

When calculating fees, the system determines the applicable version based on the **case event date**.

The selection rule is:

Effective Start Date ≤ Case Event Date < Next Version Start Date

This ensures the correct historical fee structure is always applied.

Future Fee Configuration

The system allows fee administrators to **pre-configure future fee versions**.

These future configurations:

- Remain **inactive until their effective date is reached**
- Automatically **become active without manual intervention**
- Ensure regulatory fee changes can be implemented in advance

Audit and Compliance Controls

To maintain regulatory and financial integrity:

- All fee versions are **historically preserved**
- Fee values cannot be overwritten for previous versions
- Every change is tracked through **configuration audit logs**
- Changes must pass through the **approval workflow before activation**

This approach guarantees:

- Regulatory compliance
 - Historical fee calculation integrity
 - Full audit traceability of fee changes
4. **Lookup from SSOT:** The system retrieves data from Single Source of Truth tables:
- **Fee Table:** Base fee amounts
 - **Fee Uplift:** Applicable uplift percentage

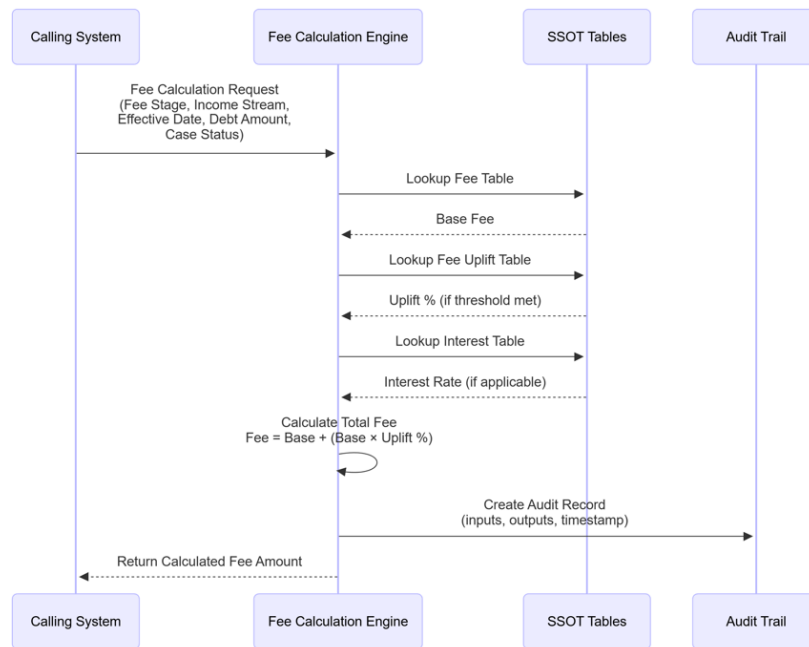
- **Interest Table:** Applicable interest rate
- **Compliance Period:** Applicable period
- **CMF:** Client-specific values

5. **Calculate Total Fee:** The system applies all relevant calculations:

1 | $\text{Fee} = \text{Base Fee} + (\text{Base Fee} \times \text{Uplift \%}) + \text{Interest (if applicable)}$

6. **Output Results:**

- **Fee Amount:** The calculated fee
- **Audit Trail:** Complete record of calculation



4.1.3 BO-03: RBAC-Governed Fee Table as Single Source of Truth

Field	Value
Priority	● HIGH
Owner	Policy Team

Target State:

All fee configuration tables are governed by role-based access controls, with clear segregation of duties and complete change auditability.

Fee Table Structure

Fee Table Structure — Example

Council Tax:

Fee Stage	Fee Amount	Effective Date	Effective To	Status
Compliance	£75.00	01/01/2026	31/12/2026	Active
Enforcement	£235.00	01/01/2026	31/12/2026	Active
S&D	£425.00	01/01/2026	31/12/2026	Active

High Court Judgments:

Fee Stage	Fee Amount	Effective Date	Effective To	Status
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Compliance	£75.00	01/01/2026	31/12/2026	Active
Enforcement 1	£235.00	01/01/2026	31/12/2026	Active
Enforcement 2	£455.00	01/01/2026	31/12/2026	Active
S&D	£250.00	01/01/2026	31/12/2026	Active

Business Rules:

- BR-F01-001: Fee amount must be non-negative
- BR-F01-002: Effective date must be future or current date
- BR-F01-003: Each income stream must have all fee stages defined
- BR-F01-004: Duplicate effective dates not permitted per income stream
- BR-F01-005: Both Fees and percentage values should be in two decimal points (0.00)

4.1.3.1 Validation Control for Future Effective Dates

The system enforces validation to ensure that the **Effective Date** can only be set to the **current date or a future date**, preventing the selection of past dates.

To maintain proper governance and prevent misconfiguration, an additional validation control is applied to future-dated entries. The system ensures that the selected effective date **cannot be set unreasonably far into the future** beyond the permitted range.

Unlike a fixed limit, the **maximum allowed future effective date range is configurable based on the Debt Type**. This allows different operational or regulatory requirements to be applied for different debt streams.

Configurable Control

The permitted future date range will be defined through system configuration (CMF / Configuration Module) and associated with specific **Debt Types**.

Example configuration:

Debt Type	Maximum Future Effective Date Range
Local Authority / RTA / TMA	180 Days
High Court	365 Days
Commercial Debt	Configurable as required

System Validation Behaviour

This validation is enforced at the application level during data entry, where:

- **Past dates are automatically rejected.**
- **Future dates are validated against the configured maximum future range for the selected Debt Type.**
- If the selected date exceeds the permitted configuration limit, the system will display a **validation message preventing the change from being saved.**

Validation Example

If the configured limit for a specific debt type is **180 days**, the system will only allow the effective date to be selected **within 180 days from the current system date**.

Attempting to select a date beyond this range will result in a validation error.

Governance and Control Benefits

This approach ensures:

- Controlled configuration management
- Flexibility to support different debt streams

- Prevention of unintended long-term configuration changes
- Improved audit and governance compliance

4.1.4 BO-04: Dual-Control Fee Table Management

Field	Value
Priority	 HIGH
Owner	Policy Team

Target State:

All fee table changes require dual-person approval through the Keyer-Verifier workflow, ensuring governance and reducing error risk.

Keyer-Verifier Workflow

Two-Stage Verification for Fee Configuration Changes (D1 & A1)

The two-stage verification process ensures that all fee configuration changes undergo proper governance with dual approval. This addresses the requirement for primary verification followed by senior final sign-off. The workflow implements segregation of duties where one person proposes a change (Keyer) and two different people approve it (Verifier 1 and Verifier 2).

Workflow Actors

Role	User	Responsibility
Keyer (Proposer)	Head of Operational Services center	Enters new fee value, provides the rationale for the change, and specifies/updates the effective date for when the change should take effect.
Verifier 1 (First Approver)	Assurance and Governance Director	Reviews changes, performs initial approval
Verifier 2 (Senior Sign-off)	Enforcement Finance Director	Final approval, senior review

Detailed Workflow Description

Step-by-Step Explanation:

Step 1 – Fee Change Initiation (Keyer / Proposer)

The process begins when the **Keyer (Proposer)** initiates a fee configuration change in the system. The Keyer is responsible for:

- Entering the **new fee value**
- Providing the **effective date** when the fee change should take effect
- Adding a **business rationale** explaining the reason for the change

Once submitted, the system records the request with the status **“Pending Approval – Step 1”**.

Step 2 – Notification to Verifier 1

After submission, the system automatically sends an **email notification to Verifier 1** indicating that a fee change request is pending review.

The email will include:

- Current fee value (before change)
- Proposed fee value
- Effective date
- Business rationale
- Change request reference ID

The **Keyer and the relevant group email distribution list will be included in CC** to ensure operational visibility.

Step 3 – Verifier 1 Review

Verifier 1 reviews the submitted change to ensure that:

- The **proposed fee value is correct**
- The **effective date is valid and within the permitted range**
- The **business rationale is appropriate**

Verifier 1 can either:

Approve the request (Step 1 Approval)

or

Reject the request with comments

Step 4 – If Verifier 1 Rejects the Request

If Verifier 1 rejects the request:

- The request status is updated to **“Rejected”**
- An **email notification is sent to the Keyer and group email**
- The rejection comments are included in the notification

The **Keyer must review the feedback, update the configuration if required, and resubmit the request** for approval.

Step 5 – Routing to Verifier 2

If Verifier 1 approves the request:

- The system updates the status to **“Pending Approval – Step 2”**
- An **automatic email notification is sent to Verifier 2**
- The **Keyer and group email distribution list are included in CC**

Step 6 – Verifier 2 Review

Verifier 2 performs a second-level review to ensure:

- Compliance with **organizational governance policies**
- **Accuracy of the fee calculation**
- Alignment with **regulatory or statutory requirements**

Verifier 2 can either:

- **Approve the change**
- **Reject the change with comments**

If rejected, the request is returned to the **Keyer for correction and resubmission**.

Step 7 – Final Approval

Once **Verifier 1 and Verifier 2 approve the change**:

- The request status is updated to **“Approved”**
- The configuration becomes **locked from further edits**
- All actions are recorded in the **system audit trail**

A **confirmation email notification is sent to the Keyer, both Verifiers, and the configured group email distribution list**.

Step 8 – Effective Date Activation

The approved configuration remains in the system until the **specified effective date**.

On the effective date:

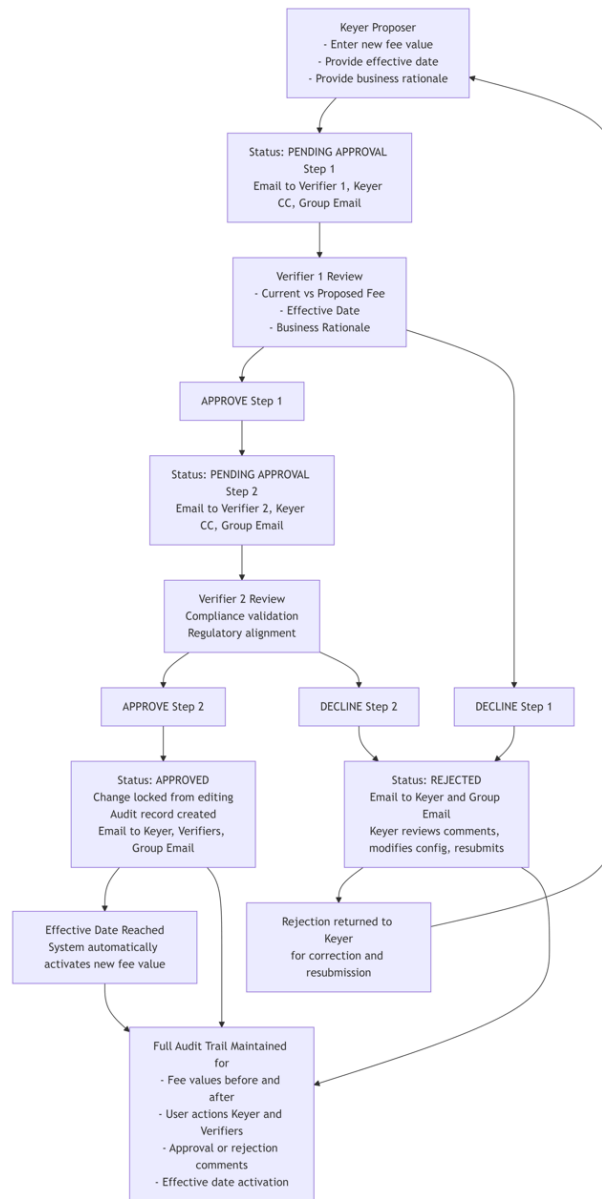
- The system **automatically activates the new fee value**
- The updated fee becomes applicable to relevant transactions according to the configured rules.

Why Two-Step Verification?

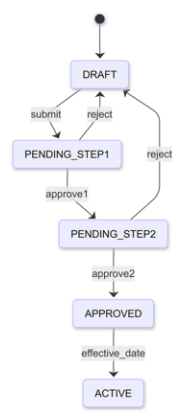
- **Error Prevention:** Two different people review each change
- **Knowledge Transfer:** Different verifiers may catch different issues
- **Compliance:** Meets regulatory requirements for financial controls

Keyer-Verifier Approval Workflow (Sequence)

One Keyer + Two-Step Verifier Flow



State Transitions Flowchart



Keyer-Verifier State Transitions

RBAC Roles

This section defines the four roles in the FAM system and their responsibilities.

Role	Description	User Type
Viewer	Read-only access to all tables	Operations, Audit
Keyer	Propose fee configuration changes	Fee Administrators
Verifier	Approve or reject fee changes	Team Leaders, Policy
Administrator	Full system access and user management	IT Security

Permission Matrix:

Function	Viewer	Keyer	Verifier	Administrator
View Fee Table	✓	✓	✓	✓
View Fee Uplift	✓	✓	✓	✓
View Interest Table	✓	✓	✓	✓
View Compliance Period	✓	✓	✓	✓
Create Fee Change	✗	✓	✗	✗
Edit Fee Values	✗	✓	✗	✗
Submit for Approval	✗	✓	✗	✗
Approve Change	✗	✗	✓	✗
Reject Change	✗	✗	✓	✗
View Audit Records	✓	✓	✓	✓
Manage Users	✗	✗	✗	✓
Assign Roles	✗	✗	✗	✓

Key Rules:

- **Separation of Duties:** The same person CANNOT act as both Keyer and Verifier for the same change.
- **Immutability:** Approved changes are immutable — they cannot be edited or deleted after approval.

- **Audit Notification:** All approved changes trigger an automatic email notification to the Audit function.
- **Rationale Required:** All changes must include business justification.
- **Effective Date:** Changes can be scheduled for future effective dates.

4.1.5 BO-05 and BO-06: Fee Uplift Table as Single Source of Truth

Field	Value
Priority	 HIGH
Owner	Policy Team

Target State:

Fee uplift percentages are configured in the SSOT, allowing business users to modify uplift rules without code deployment. These objectives establish the Fee Uplift Table as the authoritative source for graduated fee structures based on debt amount thresholds.

Fee Uplift Table Structure

This section shows how uplift percentages are configured based on debt thresholds.

Target State:

Fee uplift percentages are configured in the SSOT, allowing business users to modify uplift rules without code deployment. The Fee Uplift Table is subject to the same Keyer-Verifier governance as the Fee Table.

Fee Uplift Table Structure — Example (Council Tax)

Fee Stage	Uplift Threshold	Uplift %	Effective Date From	Effective Date To
Enforcement	£0.00	10%	01/01/2026	12/12/2026
Control	£1,500.00	15%	01/01/2026	12/12/2026
Sale	£5,000.00	20%	01/01/2026	12/12/2026

Worked Example

Parameter	Value
Debt Amount	£2,000.00
Fee Stage	Control
Uplift Threshold	£1,500.00 (exceeded )
Uplift Percentage	15%
Base Fee	£235.00
Uplift Amount	£500.00 × 15% = £75.00
Total Fee	£235.00 + £75.00 = £310.00

Fee Uplift Calculation Logic

This flow demonstrates how the system calculates uplift fees based on debt amount thresholds.

Step-by-Step Explanation:

1. **Calculate Fee with Uplift Triggered:** Process begins when fee calculation is requested for a case with debt above base threshold
2. **Get Debt Amount:** System retrieves total debt amount for the case
3. **Lookup Uplift from SSOT:** System looks up applicable uplift percentage from Fee Uplift Table
4. **Check Threshold:** Determines if debt amount exceeds the threshold for the current fee stage
5. **Apply Uplift or Not:**
 - **YES:** Apply the corresponding uplift percentage

- **NO:** No uplift applied

6. **Calculate Total:** Computes final fee including uplift

Worked Example 1:

- **Debt Amount:** £2,000
- **Stage:** Control (threshold £1,000 exceeded)
- **Uplift:** 15%
- **Base Fee:** £235.00
- **Uplift Amount:** $£235.00 \times 15\% = £35.25$
- **Total Fee:** $£235.00 + £35.25 = £270.25$

Business Rationale: The graduated structure ensures larger debts incur proportionally higher fees to cover increased enforcement effort. This is proportional and transparent.

Worked Example 2: Linked Cases Within Same Debt Group

Debtor: John Smith

Debtor Link ID: 123456

Debt Group: RTA / TMA

Case ID	Debt Group	Debt Amount	Status
Case A	RTA/TMA	£900	Active
Case B	RTA/TMA	£700	Active
Case C	RTA/TMA	£600	Active
Case D	High Court	£800	Active
Case E	RTA/TMA	£500	Closed

Aggregation Rules Applied

Included in aggregation:

```
1 Case A + Case B + Case C
2 = £900 + £700 + £600
3 = £2,200
```

Excluded from aggregation:

```
1 Case D → Different debt group (High Court)
2 Case E → Case closed
```

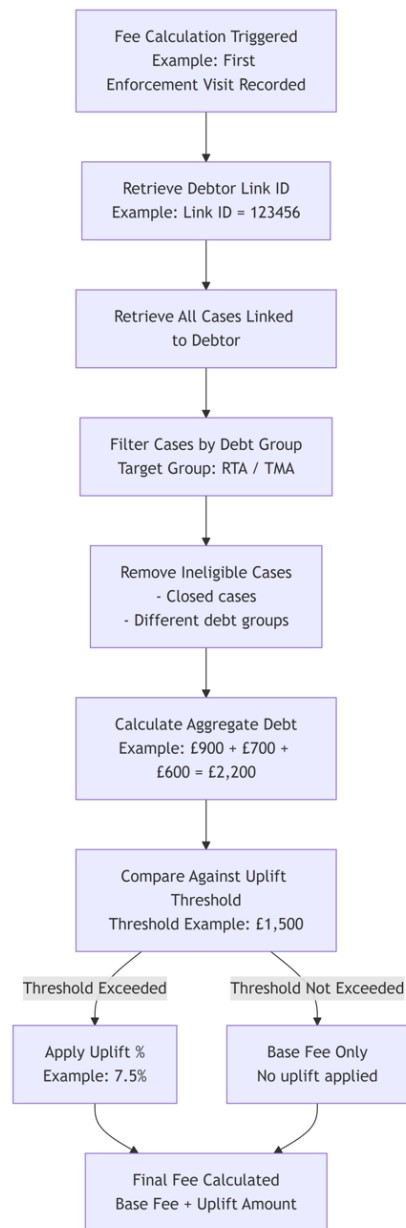
Final value used for uplift threshold validation:

```
1 Total Aggregated Debt = £2,200
```

Final Fee Calculation:

```
1 Base Enforcement Fee = £235
2 Uplift Amount = £17.63 (2200-1500 = 700 *7.5% = 52.5 ~53)
3 Final Fee = £235 + £53.00 = £288.00
```

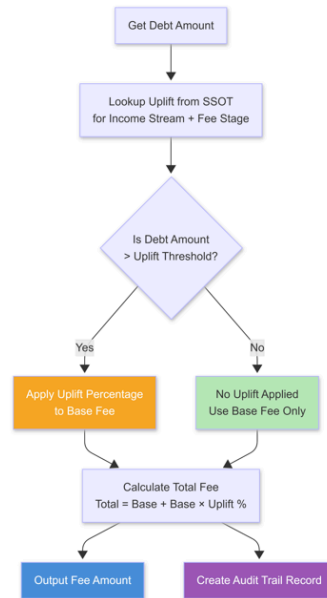
Debt Aggregation Logic – Process Flow



Key Control Rule

The system must ensure that:

- **Debt aggregation occurs only for cases linked to the same debtor**
- Only cases within the **same debt group (RTA/TMA)** are included
- **Closed cases or unrelated enforcement streams are excluded**
- The **uplift is applied only when the aggregated debt exceeds the configured threshold**



4.1.6 BO-07: Interest Table as SSOT

BO-07: Interest Table as Single Source of Truth

Field	Value
Priority	● MEDIUM
Owner	Policy Team

Target State:

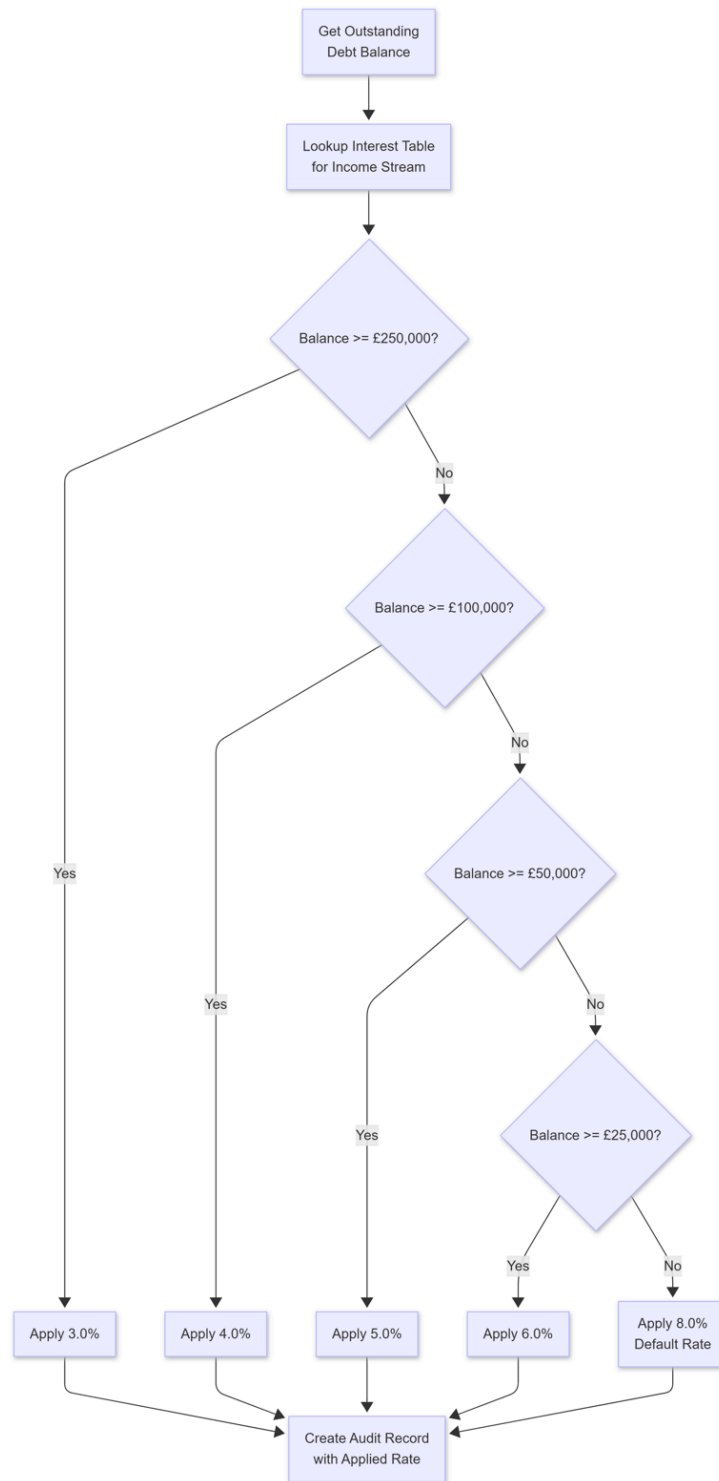
Interest rates are configured in the SSOT with tiered thresholds based on debt balance, enabling flexible rate management. The Interest Table is subject to the same Keyer-Verifier governance as all other configuration tables.

Interest Table Structure — Example (High Court Judgments)

Balance Threshold	Interest Rate	Effective Date From	Effective Date From
£0.00	8.0%	01/01/2026	31/12/2026
£25,000.00	6.0%	01/01/2026	31/12/2026
£50,000.00	5.0%	01/01/2026	31/12/2026
£100,000.00	4.0%	01/01/2026	31/12/2026
£250,000.00	3.0%	01/01/2026	31/12/2026

Logic: Tiered rates are applied based on the outstanding debt balance. The applicable tier is the highest threshold that the debt balance meets or exceeds.

Example: A debt of £40,000 falls into the £25,000 tier → **6.0% interest rate**.



Interest Rate Determination – Client Override Precedence

The system supports configurable **interest rate determination** based on either a **standard interest table** or a **client-specific override configuration**.

To support contractual agreements or negotiated client terms, the system allows a **Client Interest Rate Override** to be defined within the CMF.

Where a client-specific override exists, this value **must take precedence over the standard interest rate defined in the Interest Rate Table**.

This behaviour retains the **existing Columbus capability** while ensuring flexibility for client-specific commercial agreements.

Decision Statement

Client-specific interest rate overrides must take precedence over the standard interest rate table values.

The system will follow this order of precedence when determining the applicable interest rate:

1. **Client Interest Rate Override (CMF configuration)**
2. **Standard Interest Rate Table**

If an override is present for the client, the system will apply the **override rate**. If no override is configured, the system will apply the **standard interest rate from the interest rate table**.

Interest Rate Determination Logic

When calculating interest on a case, the system performs the following steps:

1. Identify the **Client associated with the case**.
2. Query the **CMF configuration** to check whether a **Client Interest Rate Override** exists.
3. If an override is found:
 - Use the **configured override interest rate**.
4. If no override is found:
 - Retrieve the **standard interest rate from the Interest Rate Table**.
5. Apply the determined interest rate to the **outstanding balance** for interest calculation.

This ensures that **client contractual agreements are respected while maintaining default regulatory behaviour** for all other cases.

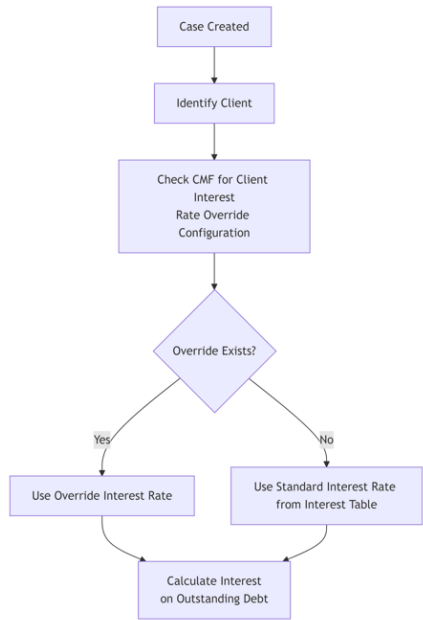
Example: Interest Rate Override

Scenario: Client ABC Corp has negotiated a 5% interest rate (vs. standard 8%)

Step	Action	Result
1	Case created for Client ABC Corp	•
2	System queries CMF	CMF_INTEREST_RATE_OVERRIDE = 5%
3	Override detected	Use 5% rate
4	Interest calculation	Apply 5% to outstanding balance

Without Override Scenario:

Step	Action	Result
1	Case created for Client XYZ Ltd	•
2	System queries CMF	No override found
3	Use table value	Interest Table = 8%
4	Interest calculation	Apply 8% to outstanding balance



Audit Requirements

All client override applications must be logged in the audit trail:

```
1  AUDIT RECORD:
2  - Case ID
3  - Override Type: CLIENT_OVERRIDE
4  - Field: INTEREST_RATE
5  - Base Value: 8.00%
6  - Applied Value: 5.00%
7  - Source: CMF
8  - Client ID: ABC Corp
9  - Timestamp
10 - User ID
```

4.1.7 BO-08 - similar to BO-04: Dual-Control Fee Table Management

Applies to creation, modification, and activation of tiered rates and uplift parameters.

4.1.8 BO-09 and BO-10: Compliance Period Configuration

Field	Value
Priority	● HIGH
Owner	Policy Team

Target State:

Compliance periods are configurable per income stream, with the ability to reference client-specific values from CMF using **greater-of logic**.

Compliance Period Enforcement Flow

Step-by-Step Explanation:

- Fee Application Request:** Process begins when fee calculation is requested
- Check Case Stage:** System determines if case is in Compliance stage
When the Notice of Enforcement (NOE) is generated, the Compliance Fee is applied in accordance with the statutory enforcement process.

Event	Result
Case enters Compliance Stage	NOE generated
NOE generated	Compliance Fee applied (£75)

So the **trigger is NOE generation**, not just **stage detection**.

3. **Decision - Yes or No:**

- **YES (In Compliance):** Block all enforcement fees, display "Case in Compliance" message
- **NO (Not in Compliance):** Proceed with normal fee calculation

4. **Get Compliance Period:** Retrieve configured compliance period for income stream/debtor type

5. **Compare BASE vs CMF:**

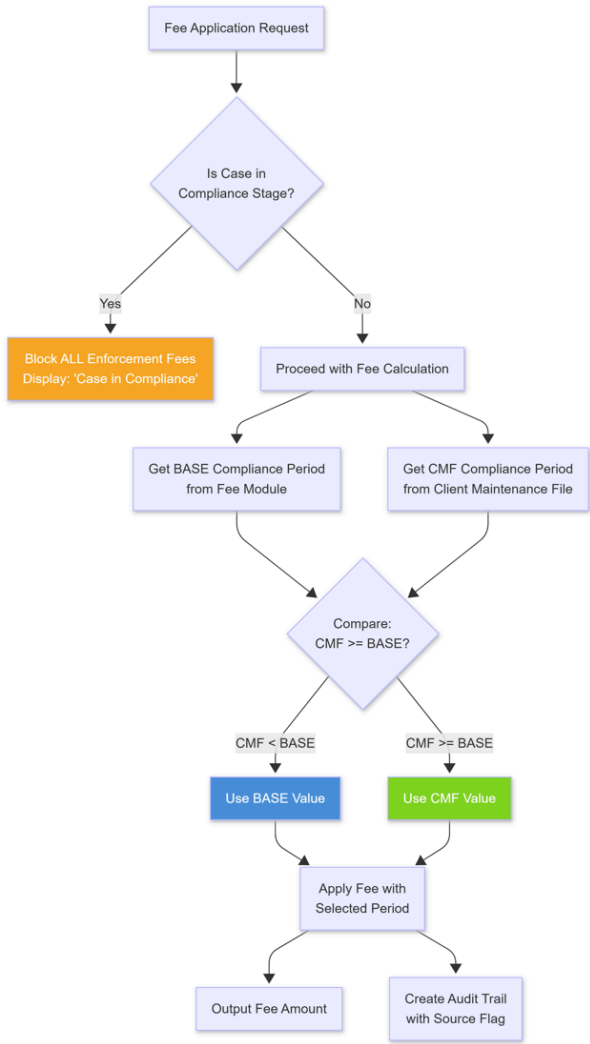
- **BASE:** Standard statutory compliance period (e.g., 14 days)
- **CMF:** Client Maintenance File compliance period (e.g., 30 days)

6. **Apply Greater-Of Rule:**

- **CMF < BASE:** Use BASE value
- **CMF >= BASE:** Use CMF value

7. **Apply Fee:** Calculate and apply appropriate enforcement fee

Business Rationale: This flow ensures debtors in compliance period are not penalized with fees while allowing clients with CMF arrangements to receive their entitled extended periods.



Case Details Page - Separate Views for Statutory Compliance Period vs CMF Period

This section shows how the Case Details page displays compliance period information differently based on the case phase.

Phase: Data Cleanse Phase

1	=====
2	CASE DETAILS - DATA CLEANSE PHASE
3	=====

Phase: Compliance Phase - Statutory Period View

Phase: Compliance Phase - CMF Period View (When CMF Applied)

1	=====	
2	CASE DETAILS - COMPLIANCE PHASE (CMF PERIOD)	
3	=====	
4		
5	CASE ID: CT-2026-0001	STATUS: Compliance
6	=====	
7		
8	CASE INFORMATION	STATUTORY COMPLIANCE PERIOD
9	=====	
10	Income Stream: Council Tax	[INACTIVE - CMF APPLIED]
11	Case Type: Single	
12	Linked Cases: 3	Period: 14 DAYS
13	Status: SUPERSEDED	

[illegible]

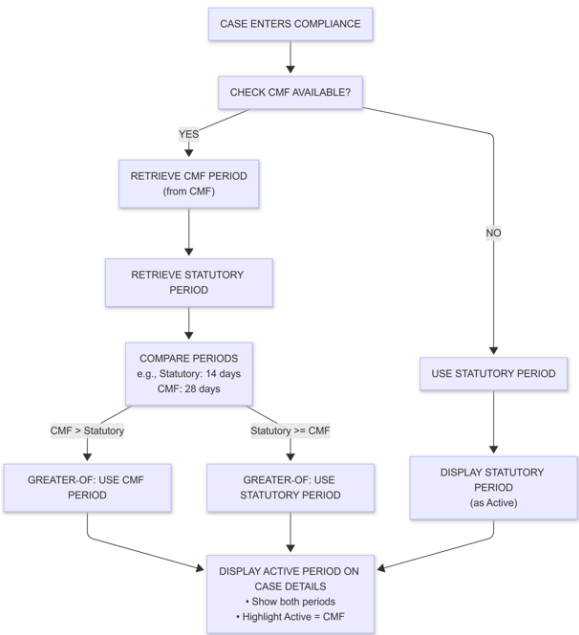
Comparison View - Both Periods Displayed

```

1  +-----+-----+-----+-----+
2  |                                     | CASE DETAILS - COMPLIANCE PHASE (COMPARISON VIEW) |                                     |
3  +-----+-----+-----+-----+
4  +-----+-----+-----+-----+
5  | CASE ID: CT-2026-0001              STATUS: Compliance |                                     |
6  +-----+-----+-----+-----+
7  +-----+-----+-----+-----+
8  | CASE INFORMATION | STATUTORY PERIOD vs CMF PERIOD |                                     |
9  +-----+-----+-----+-----+
10 | Income Stream: Council Tax | +-----+ +-----+ +-----+ |
11 | Case Type: Single          | | STATUTORY | | CMF | |
12 | Linked Cases: 3            | +-----+ +-----+ +-----+ |
13 +-----+-----+-----+-----+ |
14 |                               | Period: 14 d | | Period: 28 d | |
15 |                               | Status: INACTIVE | | Status: ACTIVE | |
16 |                               | (CMF applied) | | (Greater-of) | |
17 +-----+-----+-----+-----+ |
18 | DEBTOR DETAILS | GREATER-OF RULE APPLIED |
19 | Name: John Doe | |
20 | Address: 123 Main St | |
21 +-----+-----+-----+-----+ |
22 |                               | CMF (28 days) > Statutory (14 days) |
23 +-----+-----+-----+-----+ |
24 | FINANCIAL SUMMARY | Active Period: CMF |
25 |                               | Days Remaining: 24 |
26 +-----+-----+-----+-----+ |
27 | Debt Amount: £5,000.00 | |
28 | Balance: £5,000.00 | |
29 +-----+-----+-----+-----+ |
30 | ACTIONS | |
31 | [Move to Enforcement] | |
32 | [Request Extension] | |
33 | [Link Cases] | |
34 +-----+-----+-----+-----+

```

Flow Diagram - Compliance Period Selection Logic



Auto-Removal Trigger

When compliance period expires:

- 1. System automatically transitions case to Enforcement Action stage
- 2. Enforcement fees become applicable
- 3. Audit record created with source flag (CMF or STATUTORY)
- 4. Case handler notified

Audit Flag Specification

Field	Description	Values
AUDIT_COMPLIANCE_SOURCE	Indicates which period was applied	STATUTORY, CMF
AUDIT_COMPLIANCE_PERIOD	The actual period applied (days)	Integer
AUDIT_CMF_VALUE_RETRIEVED	The CMF value that was compared	Integer
AUDIT_STATUTORY_VALUE	The statutory minimum	14 (fixed)
AUDIT_GREATER_OF_RESULT	The selected value	Integer

4.1.9 BO-11 to BO-12: Compliance Extension Management

These objectives establish the process for extending the compliance period under specific circumstances.

Approved Channels:

- Debt Advisor referral
- Client-initiated request
- Court order

Field	Value
Priority	● MEDIUM
Owner	Operations

Target State:

Compliance period extensions can be granted through **validated channels**, with automatic propagation to linked accounts.

Eligibility Flow**CMF Extension - Welfare Team Routing Flow**

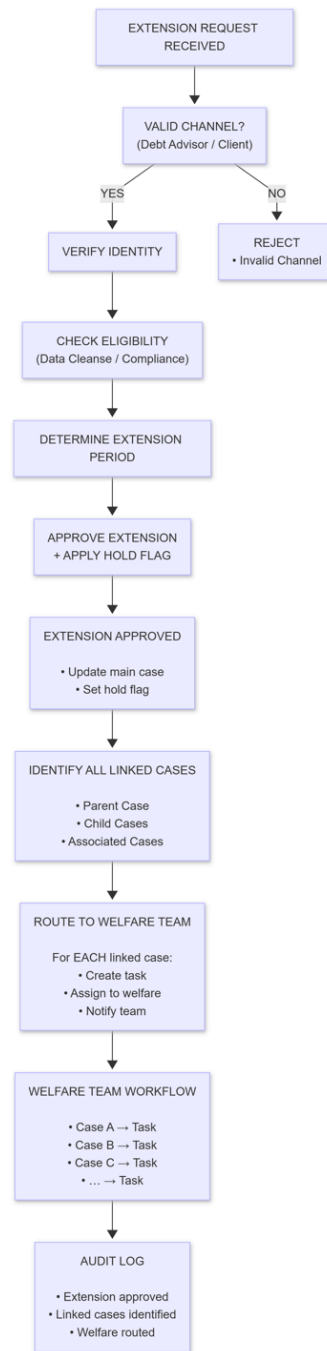
This critical flow shows how extension approvals are propagated to all linked cases and routed to the Welfare Team for review.

Step-by-Step Explanation:

1. **Extension Request Received:** System receives request from approved channel (Debt Advisor, Client, Court)
2. **Validate Channel:** Verifies request came through valid channel
3. **Verify Identity:** Confirms requester identity
4. **Check Eligibility:** Evaluates eligibility based on payment history, compliance status, previous extensions
5. **Determine Extension Period:** Calculates appropriate extension duration
6. **Approve + Apply Hold Flag:** Extends compliance period, applies hold to prevent enforcement
7. **Identify All Linked Cases:** Finds all related cases:
 - Parent Case (primary)
 - Child Cases (from same debt)
 - Associated Cases (same debtor)
8. **Route to Welfare Team:** For EACH linked case:
 - Creates welfare review task
 - Assigns to Welfare Team
 - Notifies team
9. **Welfare Team Workflow:** Team reviews each case individually
10. **Audit Log:** Complete record of approval, routing, and actions

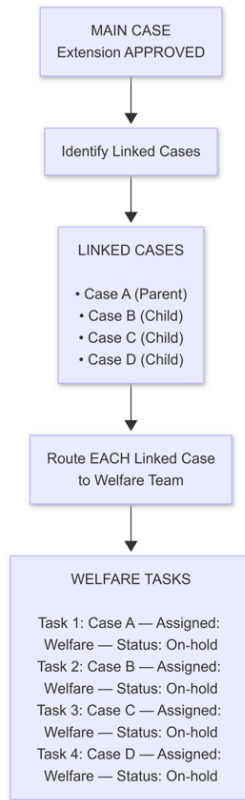
Why Route to Welfare Team?

- **Holistic Care:** All linked cases receive proper attention
- **No Case Left Behind:** Extension on one case doesn't forget others
- **Audit Trail:** Clear accountability for welfare review
- **Client Experience:** Consistent treatment across all related cases



Linked Cases Routing Detail

This diagram provides detailed visualization of how linked cases are routed.



4.1.10 BO-13 to BO-14: CMF Integration with Greater-Of Logic

These objectives establish how the FAM system integrates with the Client Maintenance File to retrieve client-specific parameters while enforcing the greater-of rule.

Field	Value
Priority	● HIGH
Owner	Group IT

Target State:

The system integrates with the Client Maintenance File to retrieve client-specific parameters, applying the greater-of comparison between base and CMF values.

The Greater-Of Logic ensures that debtors receive the most favorable treatment by applying the longer of:

- **Statutory Minimum:** 14 days (mandatory minimum)
- **CMF Configured Period:** Client-specific period configured in CMF

This logic applies ONLY to:

- **Data Cleanse and Compliance Phase** cases only

Greater-Of Rule Logic

This flow demonstrates how the system compares CMF values against base/statutory values and selects the more favorable option for the client.

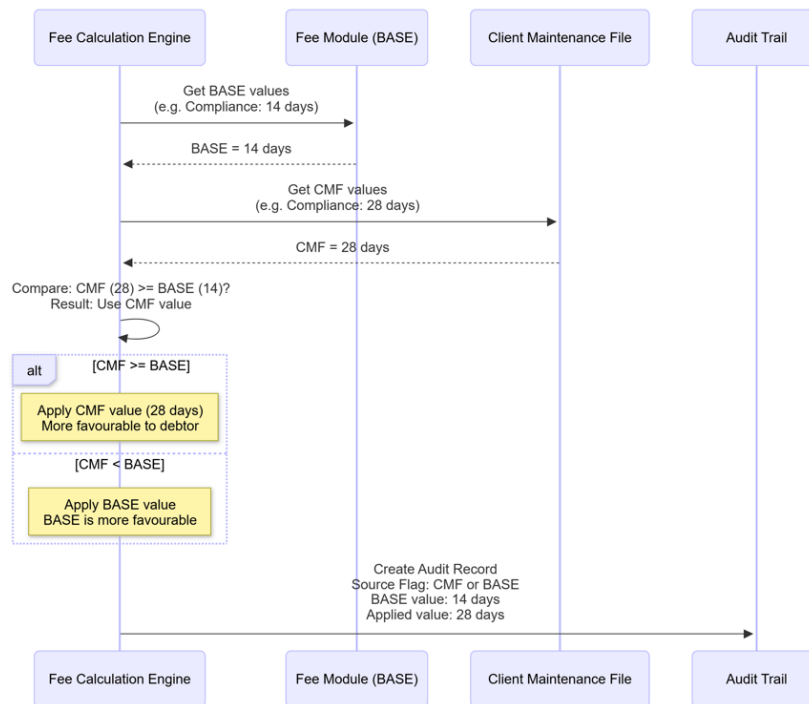
Step-by-Step Explanation:

1. **Runtime Fee Calculation Trigger:** Process begins when fee calculation is requested
2. **Get Base Values from Fee Module:** Retrieves standard/statutory values:
 - Base Compliance Period: 14 days

- Base Fee Amounts: Standard fees
 - Base Interest Rates: Standard percentages
3. **Get CMF Values from Client Maintenance File:** Retrieves client-specific values:
 - CMF Compliance Period: 28 days
 - CMF Fee Caps: Maximum fees
 - CMF Interest Rates: Reduced rates
 4. **Compare Values:** System compares both sets of values
 5. **Apply Greater-Of Rule:**
 - **CMF (28) >= BASE (14):** Use CMF value (client gets longer period)
 - **CMF (10) < BASE (14):** Use BASE value (client gets statutory minimum)
 6. **Log Which Value Applied:** Audit record shows which source was used
 7. **Create Audit Record with Source Flag:** Complete record including:
 - User/Process that triggered calculation
 - Timestamp
 - Both base and CMF values
 - Which value was selected

Business Rationale: The Greater-Of Rule ensures:

- **Client Fairness:** Clients with CMF arrangements benefit from their agreements
- **Regulatory Compliance:** Clients always receive at least statutory minimums/maximums
- **Transparency:** Clear audit trail shows which values were applied and why



Business Significance

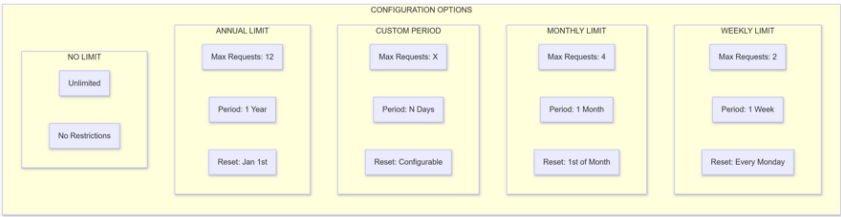
This flow ensures:

- **Legal Compliance:** Statutory minimums are always enforced
- **Client Flexibility:** Clients can extend compliance periods
- **Transparency:** Clear display of which period applies
- **Auditability:** Complete record of which value was used

CMF Extension Configuration

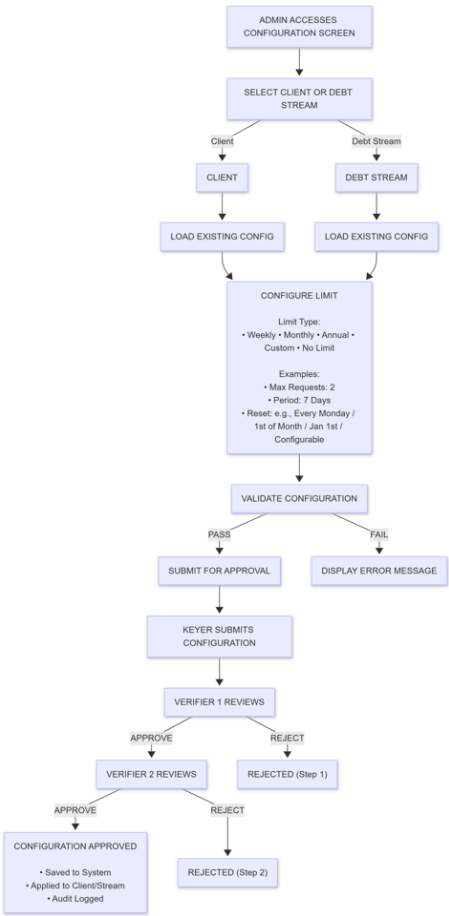
CMF Extension Configuration Overview

This section describes the configuration options for limiting how many times a client can request CMF extensions within a specific time period.



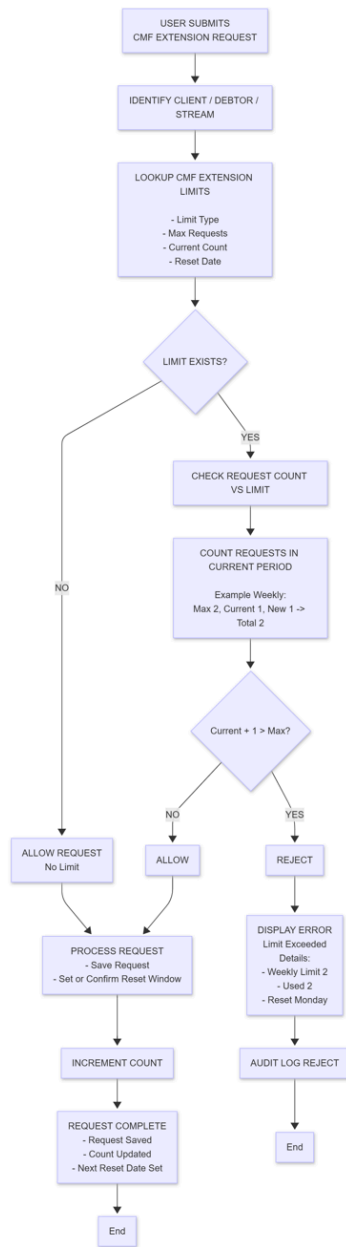
CMF Extension Limit Configuration Flow

This flow shows how administrators configure extension limits.



CMF Extension Request Validation Flow

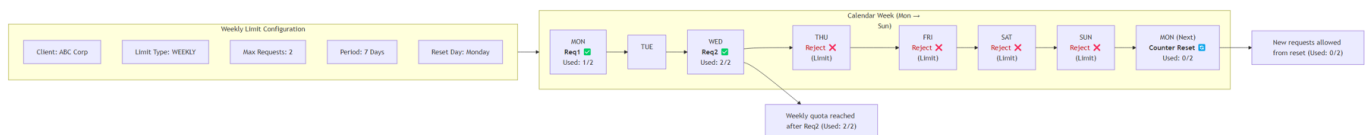
This flow shows how the system validates extension requests against configured limits.



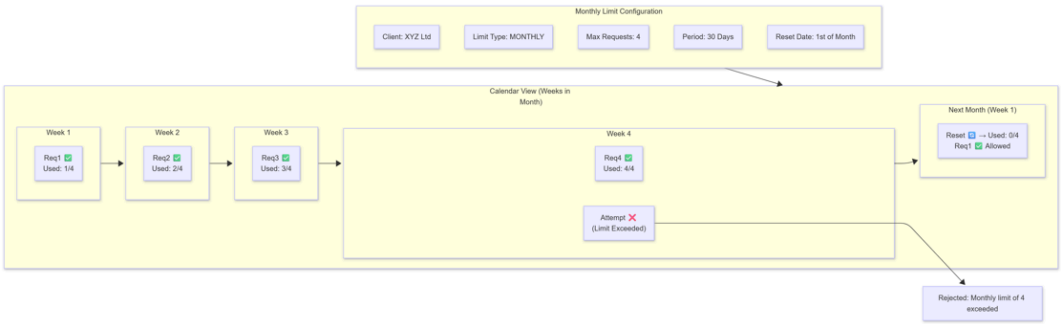
Limit Types - Configuration Examples

This section provides examples of different limit configurations.

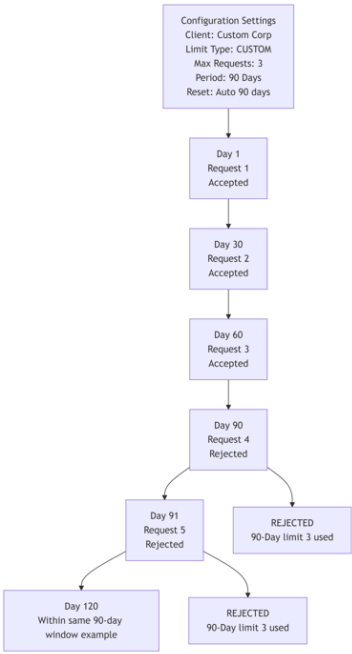
Weekly Configuration (e.g., 2 requests per week)



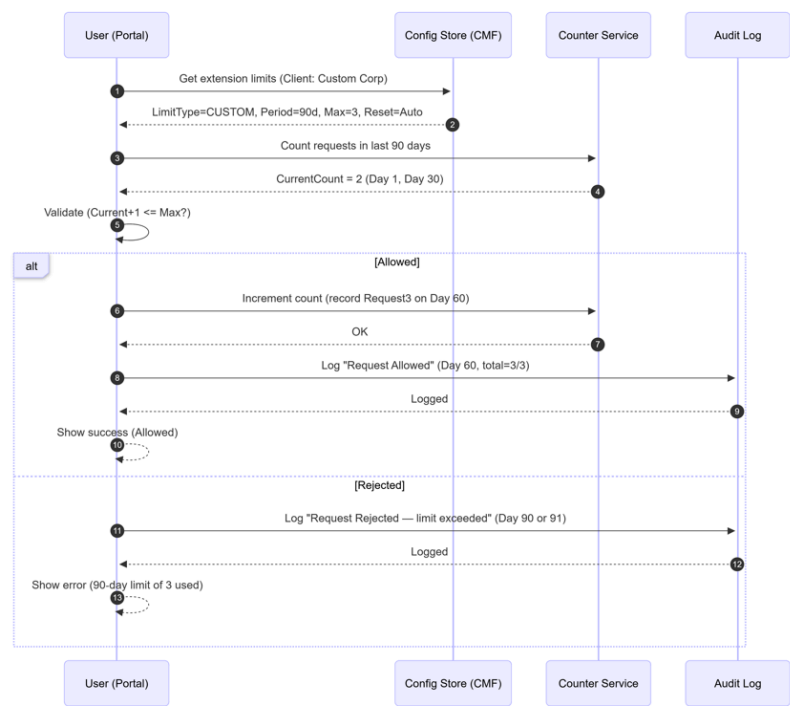
Monthly Configuration (e.g., 4 requests per month)



Custom Period Configuration (e.g., 3 requests per 90 days)

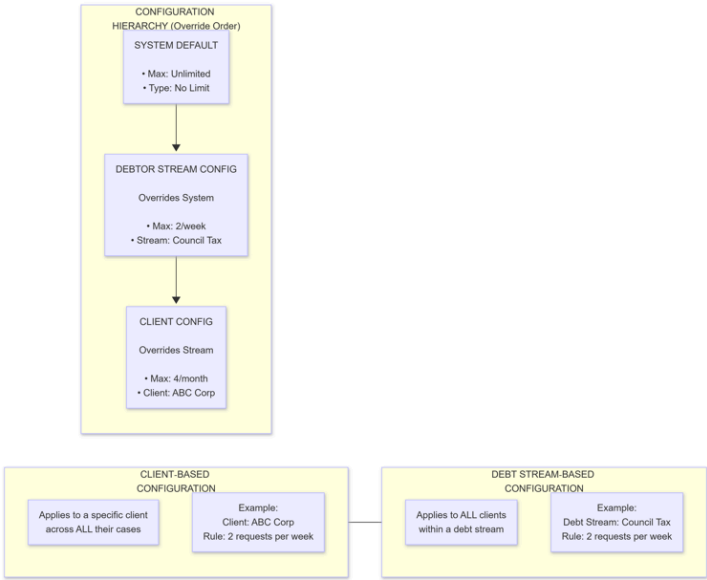


Custom Period Configuration flow



5. Client-Based vs Debt Stream-Based Configuration

This section explains the hierarchy of configuration priority.

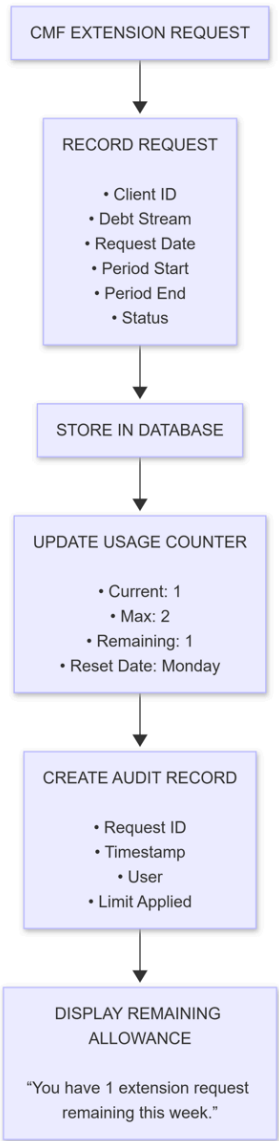


Priority Order:

- 1. **Client Configuration** (highest) - specific client across all cases
- 2. **Debtor Stream Configuration** (middle) - all clients within income stream

3. **System Default** (lowest) - usually unlimited

CMF Extension Request Tracking



4.1.11 BO-15: Full Auditability

This objective ensures all configuration changes and system activities are captured in immutable audit records.

Field	Value
Priority	HIGH
Owner	Audit Function

Target State:

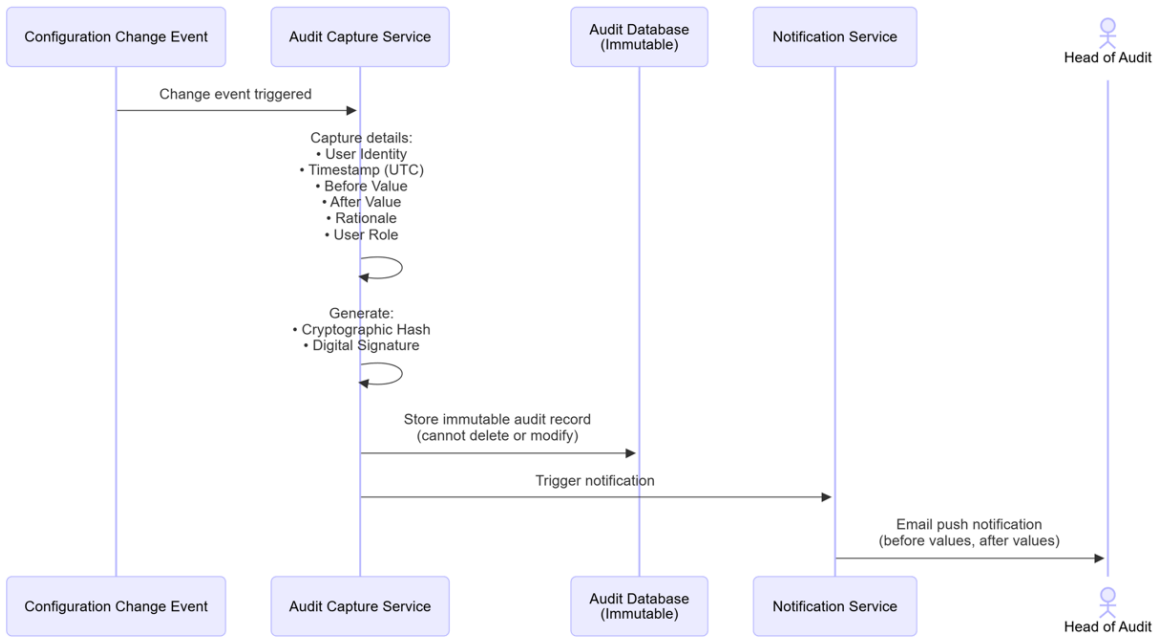
All configuration changes and fee calculations create immutable audit records with full context, supporting compliance requirements and investigation needs.

Audit Record Flow

Every audit record must capture the following:

Field	Description
User Identity	The authenticated user who initiated or approved the change
Timestamp	The exact date and time of the action (UTC)
Before Value	The value prior to the change
After Value	The value after the change
Rationale	Free-text justification provided by the Keyer
User Role	The RBAC role of the user at the time of action
Hash	Cryptographic hash ensuring record integrity
Digital Signature	Non-repudiation signature

Audit Record Creation Flow



Step-by-Step Explanation:

- Configuration Change Event:** Triggered by any configuration modification
- Capture All Details:** Records:
 - User Identity: Who made the change
 - Timestamp: When it occurred
 - Before Value: Previous configuration
 - After Value: New configuration
 - Rationale: Why the change was made
 - User Role: What role the user had
- Create Immutable Record:** Audit record that cannot be modified or deleted
- Generate Security Elements:**
 - Hash: Unique digital fingerprint
 - Digital Signature: Cryptographic proof
 - Notification: Alert to relevant parties

- 5. **Store in Audit Database:** Separate, secure storage with:
 - Append-only (no updates/deletes)
 - Time-stamped entries
 - Encrypted
- 6. **Notify Head of Audit:** Email notification for critical changes

Business Significance

This flow ensures:

- **Regulatory Compliance:** Meets requirements for financial audit trails
- **Dispute Resolution:** Can recreate exactly what happened
- **Security:** Tamper-proof records
- **Accountability:** Clear ownership of all actions
- **Traceability:** Can trace any fee back to its source

4.1.12 BO-16: Audit Notification Process

This objective establishes automatic notifications to the Audit team when significant configuration changes occur.

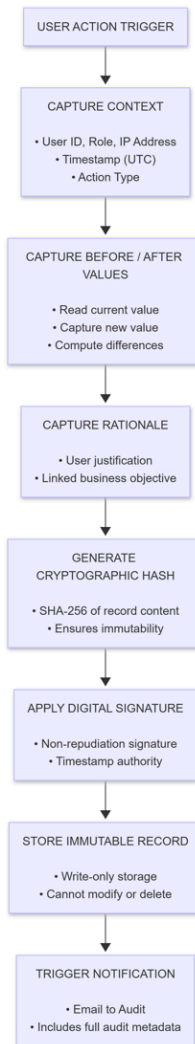
Overview

Field	Value
Priority	 HIGH
Owner	Operations / Audit
Reference	Meeting notes: 2025.12.12

Target State

- Email push notifications to Audit function
- Before values explicitly stated
- After values explicitly stated
- Immediate notification on approval

Audit Record Creation Flow



Notification Process

Notification Trigger

Automatic email notification is sent **IMMEDIATELY** upon:

- **Step 1 Approval** (Verifier 1)
- **Step 2 Approval** (Verifier 2 - Final)
- **Any Rejection**

Notification Recipients

Notification Type	Primary Recipients	CC Recipients
Fee Table Change	Audit Function	Policy Team, Operations Lead
Fee Uplift Change	Audit Function	Policy Team
Interest Rate Change	Audit Function	Policy Team, Finance
Compliance Period Change	Audit Function	Operations
CMF Override Applied	Audit Function	Client Services

Notification Content Example

```

1 SUBJECT: [FAM AUDIT] Fee Configuration Change Approved - FEE_TABLE
2
3 BODY:

```

```

4
5 AUDIT NOTIFICATION
6
7
8 ACTION: APPROVED (Step 2 - Final)
9 TABLE: FEE_TABLE
10 RECORD ID: FT-CTAX-001
11 INCOME STREAM: Council Tax
12 FEE STAGE: Enforcement
13
14 CHANGES:
15
16 Field: ENFORCEMENT_FEE
17 Before Value: £75.00
18 After Value: £85.00
19 Change: +£10.00 (+13.33%)
20
21 RATIONALE:
22 Annual fee review per policy team recommendation
23 and CPI adjustment for 2026.
24
25 APPROVAL CHAIN:
26
27 Step 1 (Verifier 1): - Approved 03-03-2026 14:30
28 Step 2 (Verifier 2): - Approved 04-03-2026 10:30
29
30 EFFECTIVE DATE: 01-04-2026
31
32 AUDIT DETAILS:
33
34 Audit ID: AUD-2026-000001
35 Timestamp: 04-03-2026 10:30:00 UTC
36 User: Assurance and Governance Director
37 Role: VERIFIER_2
38
39
40 This is an automated notification from the
41 Fee Application Module (FAM) Audit System.
42

```

Note: This is the final confirmation sample email for the VERIFIER_2 flow. Similarly, for all the accept/reject email confirmations needs to be sent.

Immutability Requirements

- Audit records CANNOT be edited or deleted
- Audit records CANNOT be modified retroactively
- All records include cryptographic hash for integrity verification
- Digital signatures provide non-repudiation

4.1.13 BO-17 to BO-24: Supporting Outcomes

ID	Outcome	Priority	Owner
BO-17	Context diagrams linking business outcomes to features	 Low	BA / Group IT
BO-18	User story templates with MoSCoW prioritisation	 Low	Business Analyst
BO-19	Efficient and effective user experience (UX)	 Medium	Group IT / Operations
BO-20	Reporting and dashboards	 Low	Operations / Group IT
BO-21	Legacy hard-coding remediation	 High	Group IT / Data

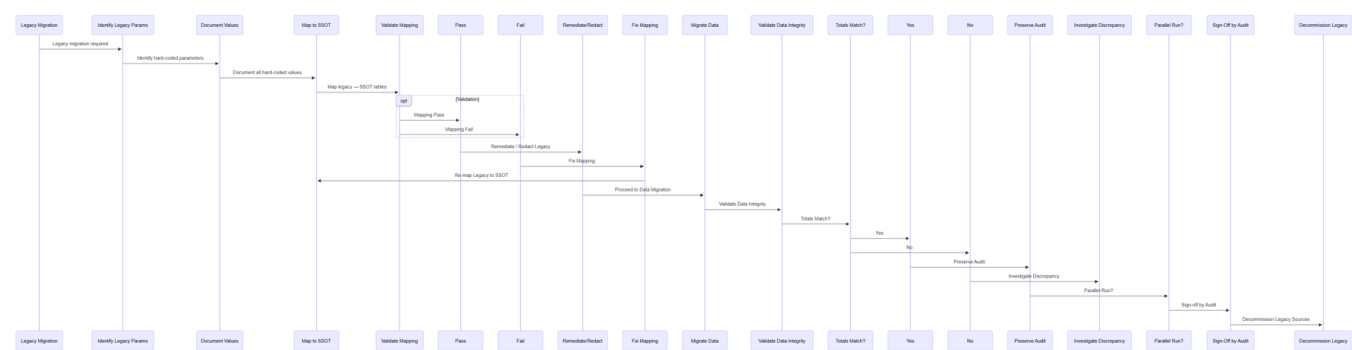
BO-22	Enhanced case linking	● High	Group IT / Data
BO-23	Client Maintenance Files integration	● High	Group IT / Operations
BO-24	Fee Bubble logic control	● High	Group IT / Operations

4.2 Legacy Data Migration

Description

Migration of existing hard-coded fee values from legacy systems into the new SSOT tables, ensuring continuity and data integrity.

Migration Process Flow (out of scope)

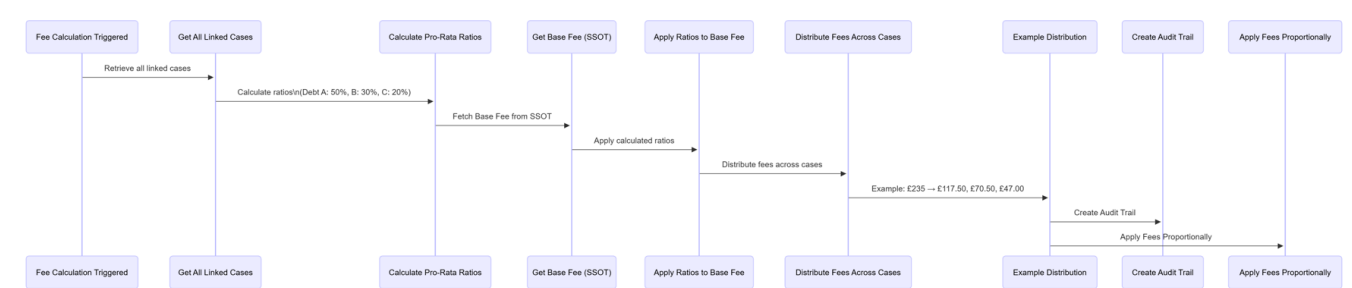


4.3 Pro-Rata Fee Allocation

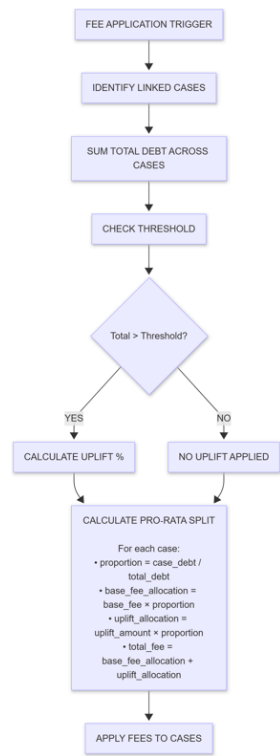
Description

When an Enforcement fee is applied against linked cases, the Pro-Rata engine calculates the appropriate allocation based on each debt's proportion of the total.

Pro-Rata Logic



Pro-Rata Algorithm



Example Calculation

Scenario: Multiple cases, single enforcement fee split as pro-rata (As per Bhav's Model)

		Debt amount		ES1 FEE:
Client debt + ES1 fee	HC 1	£5,635.90	63%	£144.39
	HC 2	£2,131.75	24%	£34.59
	HC 3	£1,131.75	13%	£4.40
		£8,899.40		
Threshold applies to each debt		Threshold:	£1,000.00	fee uplift @: £592.46
		Payable on:	£7,899.40	7.5%
fee uplift applied	HC 1		63%	£450.24
	HC 2		24%	£107.85
	HC 3		13%	£13.72
		Total (fee + fee uplift)		£782.46
ES1 fee + fee uplift	HC 1	£5,635.90	63%	£504.63
	HC 2	£2,131.75	24%	£142.44
	HC 3	£1,131.75	13%	£18.11
	Total debt	£8,899.40		

VAT added if applicable. It is applied to all fees charged on that debt

4.4 optimise Requests Fee (D5)

Overview

The Optimize Requests Fee functionality handles fee requests where Columbus (the core system) accepts or rejects the request and returns the updated balance. This provides a synchronous interface for real-time fee application. (optimise online path shouldn't get changed)

Flow Description

Request Submission

1. User initiates fee application request
2. System validates request parameters:
 - Case exists
 - Fee stage is valid
 - Fee amount is within acceptable range
3. System submits request to Columbus

Columbus Processing

Columbus performs:

- Balance validation
- Fee calculation verification
- Business rule validation
- Transaction processing

Response Handling

Columbus Response	System Action
ACCEPTED	Apply fee, update balance, create success audit
REJECTED	Notify user, log rejection reason, create audit
ERROR	Log error, notify system administrator

4.5 Fee Bubble Logic (D6)

Overview

When multiple fee versions exist within a linked "bubble" of cases, the oldest (lowest) enforcement fee scale applies. However, for new cases, compliance fees use the new rate.

Definition: Fee Bubble

A **Fee Bubble** is a group of linked cases that share:

- Same debtor
- Same client
- Linked via case relationship (Parent-Child)

Fee Version Selection Logic

Within a Bubble

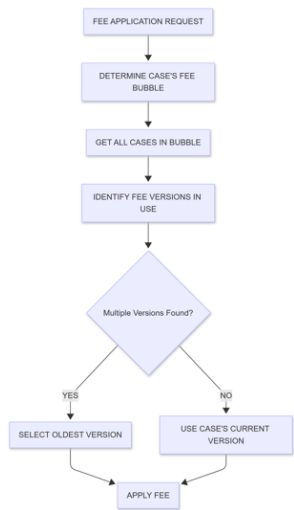
When applying enforcement fees to cases within a bubble:

Scenario	Fee Applied
Multiple fee versions exist	OLDEST/LOWEST rate applies
New case added to existing bubble	New case uses current rate
Fee version change mid-bubble	Existing cases retain old rate

Example: Fee Bubble

1	SCENARIO: Client ABC Corp has existing bubble with 3 cases
2	
3	CASE HISTORY:
4	
5	Case ID Created Fee Version Enforcement Fee
6	
7	CT-001 2025-06 v1 (OLDEST) £75.00
8	CT-002 2025-09 v1 £75.00
9	CT-003 2026-01 v2 (NEW) £85.00 (new rate)
10	
11	
12	FEE VERSION TABLE:
13	
14	Version Effective Date Enforcement Fee
15	
16	v1 2025-01-01 £75.00
17	v2 2026-01-01 £85.00
18	
19	
20	APPLICATION:
21	- CT-001: £75.00 (v1 - oldest)
22	- CT-002: £75.00 (v1)
23	- CT-003: £85.00 (v2 - new case, new rate)

Fee Scale Determination Algorithm



New Cases in Existing Bubble

For NEW cases added to an existing bubble:

- New cases use the CURRENT (newest) fee rate
- Existing cases retain their original rate
- This ensures new business uses updated pricing

Audit Requirements

All fee bubble applications must be logged:

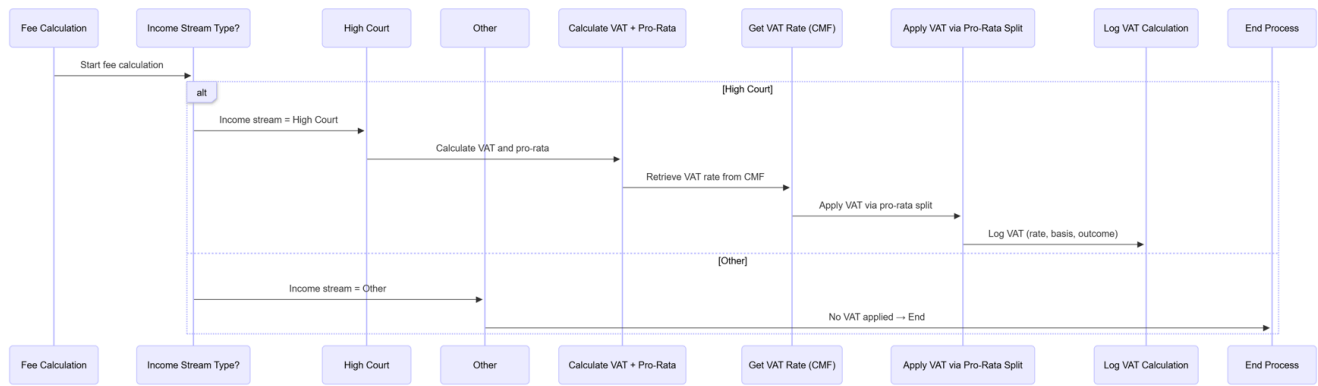
```
1 AUDIT RECORD:
2 - Case ID: CT-003
3 - Fee Bubble ID: BUBBLE-ABC-001
4 - Fee Version Applied: v2
5 - Bubble Existing Cases: CT-001, CT-002 (using v1)
6 - Fee Rate: £85.00
7 - Reason: New case in existing bubble - current rate applied
```

4.6 VAT Handling

Description

VAT handling for applicable income streams, particularly High Court Judgments where VAT may apply to certain fees.

VAT Handling Flow



Business Rationale:

- **High Court:** VAT may apply to certain fees

- **Other Streams:** VAT does not apply
- **Pro-Rata Split:** VAT distributed across linked cases if applicable (Based on the Debt stream groups)

4.7 Optimise Parity & Conflict Handling

- **Parity:** Device config must match server at cutover; server calculation is authoritative.
- **Offline:** On sync, mismatches are detected, flagged, and corrected by server.
- **Direct-Apply Flags:** Where “apply from device” is enabled for a client/case type, device **must** receive current config **before** action.

5. End-to-End Process Flow

5.1 Overview

This flow provides a complete picture of how a case moves through the enforcement process, triggering the appropriate fee calculations at each stage. It shows the complete lifecycle from case initiation through to completion.

5.2 What This Flow Explains

Stage 1: Case Initiation

- Case is created in the system
- Debt amount and income stream are recorded
- Client details are linked

Stage 2: Case Assessment

- System evaluates case characteristics
- Determines income stream and fee structure
- Checks for client-specific configurations

Stage 3: Fee Lookup

- Queries Fee Table for applicable base fees
- Queries Fee Uplift Table for uplift rules
- Queries Interest Table (for High Court cases)

Stage 4: Eligibility Check

- Validates case is eligible for fee application
- Checks compliance period status
- Confirms all prerequisites are met

Stage 5: Fee Calculation

- Applies base fee from table or CMF override
- Calculates uplift if threshold exceeded
- Applies VAT if applicable
- Calculates interest for High Court cases

Stage 6: Compliance Period Validation

- Verifies compliance period has expired (if required)
- Applies Greater-Of logic for period determination
- Records audit flag for source

Stage 7: Payment Allocation

- When payment received:
 - Applies waterfall sequence
 - Calculates Pro-Rata split
 - Updates case balance

Stage 8: Audit Trail Logging

- Creates immutable record of entire process
- Captures all inputs, calculations, outputs
- Available for regulatory review

Stage 9: Case Update

- Updates case status based on outcome
- Triggers notifications if needed
- Prepares for next stage if unpaid

5.3 Business Significance

This end-to-end flow ensures:

- **Completeness:** Every aspect of fee handling is covered
- **Consistency:** Same process followed every time
- **Compliance:** All regulatory requirements met
- **Visibility:** Complete audit trail of case journey
- **Automation:** Manual intervention minimized where possible

5.4 Audit and Configuration Data Retention Policy

5.4.1 Overview

To ensure **regulatory compliance, financial traceability, and audit assurance**, all fee-related **audit logs and configuration records** must be retained for a defined period following the closure of a case.

This policy applies to records associated with:

- Fee configuration changes
- Fee model assignments
- Fee calculation inputs and outputs
- System or user modifications affecting fee values
- Audit trail records generated during case processing

Maintaining these records ensures the organization can support **internal audits, regulatory reviews, and financial investigations** if required.

5.4.2 Retention Policy

All **audit logs and configuration records** associated with fee processing must be retained for:

6 years from the date of case closure.

This retention period aligns with typical **financial compliance and statutory record-keeping requirements**.

The following data categories must be retained during this period:

- Fee configuration history
- Fee model configuration (TCE / MoJ Uplift)
- Fee calculation audit records
- Case-level fee model assignments
- User/system activity logs related to fee updates
- Configuration change history

5.4.3 Purpose of Retention

The retention period ensures that the organization can:

- Demonstrate **regulatory compliance with MoJ statutory fee requirements**

- Provide **audit assurance for fee calculations**
- Support **financial reconciliation and dispute resolution**
- Investigate historical cases if required
- Maintain traceability of **configuration changes impacting fees**

5.4.4 Data Destruction Policy

Once the **6-year retention period has elapsed after case closure**, the associated records may be **securely deleted as part of the organization’s data destruction process**.

The destruction process must ensure:

- Secure and irreversible deletion of the records
- Removal of associated audit/configuration data from active systems
- Compliance with internal **data governance and data protection policies**

Data destruction must only occur when:

- The retention period has expired
- There are no ongoing investigations, audits, or legal holds requiring the data

5.4.5 Scope of Deletion

During the data destruction process, the following records may be deleted:

- Fee audit logs
- Historical fee configuration records
- Case-level fee model assignment records
- System audit logs related to fee updates
- Archived fee calculation records

5.4.6 Compliance Considerations

This retention approach supports:

- **Financial audit requirements**
- **Regulatory compliance obligations**
- **Operational transparency and traceability**

It also ensures that the system maintains **only the required historical data while supporting long-term data governance policies**.

Note:

Data destruction must be performed in accordance with the organization’s **data retention and governance framework** and must be logged for audit purposes.

Summary: How All Flows Work Together

These nine flow diagrams work together to create a complete fee management system:

Flow	Purpose	Key Benefit
Architecture	System structure	Organized, maintainable design
Fee Calculation	Core processing	Consistent, accurate fees
Two-Stage Verification	Governance	Control and oversight
Client Override	Flexibility	Customized treatment
Greater-Of Compliance	Protection	Best outcome for debtor
Audit Trail	Accountability	Complete traceability

Fee Uplift	Additional charges	Threshold-based fees
Pro-Rata Allocation	Payment distribution	Fair sharing
End-to-End	Complete journey	Full lifecycle coverage

Together, these flows ensure the FAM meets all business requirements for accuracy, governance, compliance, and auditability.

6. Functional Requirements

Requirements Traceability Matrix

The following matrix maps each business outcome to its key characteristics for traceability and governance purposes:

BO ID	Description	Priority	Owner	SSOT Table	Keyer-Verifier	Audit Required	CMF Integration
BO-01	Accurate fee application	High	Policy	Fee Table	—	✓	—
BO-02	Deterministic calculation	High	Policy / IT	All tables	—	✓	—
BO-03	RBAC-governed Fee Table	High	Policy	Fee Table	✓	✓	—
BO-04	Dual-control management	High	Policy	Fee Table	✓	✓	—
BO-05/06	Fee Uplift SSOT	High	Policy	Fee Uplift	✓	✓	—
BO-07	Interest Table SSOT	Medium	Policy	Interest	✓	✓	—
BO-08	Dual control (Interest)	High	Policy	Interest	✓	✓	—
BO-09/10	Compliance period config	High	Policy	Compliance	✓	✓	✓
BO-11/12	Compliance extensions	Medium	Operations	Compliance	—	✓	—
BO-13/14	CMF greater-of logic	High	Group IT	CMF	—	✓	✓
BO-15	Full auditability	High	Audit	All tables	—	✓	—
BO-16	Audit notifications	High	Ops / Audit	All tables	—	✓	—
BO-21	Legacy remediation	High	Group IT	All tables	—	✓	—
BO-22	Enhanced case linking	High	Group IT	—	—	✓	—
BO-23	CMF integration	High	Group IT / Ops	CMF	—	✓	✓
BO-24	Fee Bubble logic	High	Group IT / Ops	—	—	✓	—

Functional Requirements

- **FR-001:** Deterministic fee calculation per BO-02 (order of operations enforced).
- **FR-002:** Uplift parameters: threshold, %, rounding up, explicit BaseAmount type.
- **FR-003:** Tiered interest with client override and dual-control governance.
- **FR-004:** Dual-control workflow for all SSOT changes; immutable audit with before/after.
- **FR-005:** Compliance period greater-of policy with UI states & auto-expiry transition.
- **FR-006:** Aggregation and pro-rata with deterministic grouping rules and exclusions.
- **FR-007:** Fee bubble selection policy for version handling (new vs existing).
- **FR-008:** Mobile parity, offline mismatch detection, and server override.
- **FR-009:** VAT flag inheritance and visibility in calculation outputs and audit.
- **FR-010:** Activation via Keyer/Verifier; atomic, auditable cutover across estate.

7. Assumptions, Dependencies & Constraints

7.1 Assumptions

ID	Assumption
A-01	Fee values referenced in this document are illustrative and will be confirmed by the Policy Team prior to implementation.
A-02	The Client Maintenance File (CMF) is available and accessible via a defined integration interface.
A-03	RBAC infrastructure is available within the target platform.
A-04	The Keyer-Verifier workflow will be supported by the selected technology platform.
A-05	All seven income streams will be in scope for the initial release.

7.2 Dependencies

ID	Dependency	Owner
D-01	CMF integration interface specification	Group IT
D-02	RBAC role provisioning process	Group IT / Security
D-03	Audit database infrastructure	Group IT / Infrastructure
D-04	Legacy system decommissioning plan	Group IT

Note: Technical flow dependencies should also be noted. For example, approval engine & queues; audit store; notification service; mobile sync packaging; reporting SP/ETL updates; distribution and commission recalculation rules.

7.3 Constraints

ID	Constraint
C-01	The solution must operate across England and Wales jurisdictions.
C-02	Fee calculations must be deterministic — the same inputs must always produce the same outputs.
C-03	Audit records must be immutable and retained in accordance with regulatory requirements.

8. Non-Functional Requirements (NFRs)

- **Performance:** Target transaction latency for fee calculation.
- **Scalability:** Activation across estate without lock contention or downtime.
- **Monitoring:** Anomaly detection for calculations, approval backlogs, sync drift, and reporting lags.
- **Security:** Immutable audit records; digital signatures/hashes (solution approach to be defined with Security).
- **Resilience:** Backup/recovery plans for SSOT; roll-forward/rollback ready.

9. Testing — Required Scenarios

- Threshold edge cases
- Activation cutover behavior
- In-flight transitions (old compliance/new enforcement)
- Multi-debt aggregation with exclusions
- Dual-control blocking (same user)
- Greater-of (client vs statutory)
- All 7 distribution strategies
- optimise tablet offline mismatch & correction
- Audit immutability
- Fee bubble (new vs existing)
- Commission on mixed regimes
- Concurrent approvals collisions
- Estate-wide activation timing checks.

10. Approvals

Role	Name	Signature	Date
Business Owner (Policy)			
Technical Owner (Group IT)			
Operations Lead			
Head of Audit			

11. Permission Matrix

Function	Viewer	Keyer	Verifier	Administrator
View Fee Table	✓	✓	✓	✓
View Fee Uplift	✓	✓	✓	✓
View Interest Table	✓	✓	✓	✓
View Compliance Period	✓	✓	✓	✓
Create Fee Change	✗	✓	✗	✓
Edit Fee Values	✗	✓	✗	✗
Submit for Approval	✗	✓	✗	✗
Approve Change	✗	✗	✓	✗
Reject Change	✗	✗	✓	✗
View Audit Records	✓	✓	✓	✓
Manage Users	✗	✗	✗	✓
Assign Roles	✗	✗	✗	✓
Configure Notifications	✗	✗	✗	✓

12. Data Retention & Destruction

- **Retention:** All fee audit/config records retained **6 years** after case closure.

- **Destruction:** Secure, irreversible deletion after retention expiry; logged and approved; no legal hold in place.

13. Risks & Mitigations

Risk	Impact	Mitigation
Activation mismatch across estate/devices	Incorrect fees applied	Coordinated activation; device package pre-push; post-cutover telemetry
In-flight case ambiguity	Disputes, recalculations	Stage-based rules + explicit examples + audit flags
Distribution/commission ripple	Financial errors	Validate all 7 strategies; commissionable flags & CPR/OPR checks
Audit volume & performance	Storage/perf degradation	Capacity planning; archiving strategy; index strategy

14. Appendix

14.1 A: Action Items Summary

Action ID	Description	Owner	Status
A1	Amend flows/UI to reflect two-stage verifier (KEYER → VERIFIER_1 → VERIFIER_2)	Athinarayanan B	Update BRD/FSD and screens
A2	Link all presented items back to the original BRF/business objective spreadsheet	Athinarayanan B	Ongoing for all workshops
A3	Display statutory & CMF compliance periods in case UI (countdown + auto-removal)	Athinarayanan B	Add to UA/UX view
A4	Correct pro-rata example to include uplift calculation when over threshold	Athinarayanan B	Example revised
A5	Route linked cases to Welfare team after CMF extension	Athinarayanan B	Add missing step to the flow

14.2 B: Business Decisions Summary

Decision ID	Description	Owner	Status
D1	Two-stage verification required for fee configuration changes (primary verifier then senior final sign-off)	Clare Alessi / Matthew Hewitt	To be reflected in updated flow and RBAC
D2	Client override for interest must take precedence over table value (existing Columbus capability retained)	Matthew Hewitt	Confirmed during UAT discussion
D3	Greater of logic for compliance period: minimum statutory (14 days) vs CMF value; display in UI and apply post-expiry	Athinarayanan B	To be implemented with audit flag for source (base vs CMF)
D4	Immutable audit trail with before/after values, rationale, and notifications for all config changes	Athinarayanan B	Centralised, read-only audit records
D5	Optimize requests fee; Columbus accepts/rejects and returns updated balance; optimise online path unchanged	Matthew Hewitt	Offline/BCP behaviour to be reviewed separately

D6	Oldest (lowest) enforcement fee scale applies within a linked "bubble" when multiple fee versions exist	Matthew Hewitt	Compliance fee on new cases uses the new rate
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Document Control

Version	Date	Author	Changes
0.1	Feb 26, 2026	LV Team	Initial Draft
0.2	Mar 4, 2026	LV Team	Updated decision and action log changes from the call on 26.02.2026
0.3	Mar 9, 2026	LV Team	Updated decision and action log changes from the call on 04.03.2026
0.4	Mar 12, 2026	LV Team	Comments from Clare has been updated on Mar 12, 2026
0.5	Mar 13, 2026	LV Team	Merging business and technical BRD changes

Reference Links

[Business Requirement Document_FAM V7.0.xlsx](#)

[Legal case journey_guide and fee application calculator.xlsx](#)